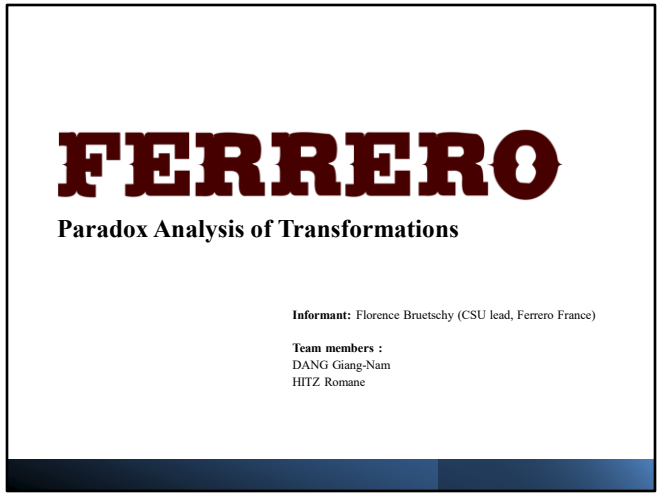


In this report, we adopt the stance of senior consultants.. Our team is mandated to analyze how Ferrero France responds to major

- Technological
- Environmental
- Societal transformations.

Our analysis builds on the paradox framework discussed in class, which conceptualizes tensions as contradictory yet interdependent elements that persist over time rather than problems that can be permanently resolved.

Our analysis is grounded in the experience of Florence Bruetschy, Head of the Consumer & Shopper Understanding (CSU) department at Ferrero France. The creation of the CSU team in 2020, through the merger of multiple insight and innovation functions, provides a concrete organizational setting to examine how strategic intent and structural adaptation interact under external pressures.

Using this lens, we first identify the strategic and organizational challenges induced by transformations. We then

analyze the paradoxes emerging from these tensions and evaluate Ferrero's current mode of response, distinguishing between either/or (dilemma-based), both/and (dialectial), and more than approaches.

Finally, we formulate recommendations aimed at moving beyond incremental tension management toward a more structural and competitive integration of competing demands. In doing so, we treat paradox not as a temporary imbalance, but as a defining condition of organizing in a transforming environment.

Ferrero is a leading global confectionery company operating in more than 170 countries.
The group generated € 19.3 billion in revenue in 2024 – 2025 fiscal year and employs approximately 47,000 people worlwide.
As a family-owned company, Ferrero maintains a long-term strategic orientation, particularly in brand building and innovation. Its competitive strength relies on globally recognized brands such as Nutella, Kinder, Ferrero Rocher and Tic Tac, all positioned in the premium segment of FMCG confectionery market.
Our informant calls them power brands.

Ferrero France represents a significant European market within the group and operates in a mature yet highly competitive retail environment. The subsidiary faces strong retailer bargaining power, increasing regulatory constraints, and rising societal expectations regarding sustainability and health. Within this context, our informant, Florence Bruetschy, led a major organizational transformation in 2020 during the COVID period. The creation of the Consumer & Shopper Understanding (CSU) department merged multiple insight and innovation teams into a single structure of more than twenty employees.

According to the interview, this reorganization was strategically motivated. The objective was not only structural simplification but the acceleration of innovation and stronger integration between consumer insights, analytics, and brand development. The CSU structure aimed to improve cross-functional coordination and enhance Ferrero's responsiveness to market changes.

This transformation must be understood within three dynamics emphasized in the course.
First, environmental transformations, particularly regulatory pressure and commitments to reduce packaging and carbon emissions.
Second, technological transformations, including the increasing role of data and AI in decision-making processes.
Third, societal transformations, such as consumer health concerns, ingredient transparency, and growing market fragmentation.

The CSU restructuring illustrates how organizational design becomes a strategic lever to respond to these external pressures. It sets the foundation for the strategic and organizational challenges analyzed in the following sections.

Ferrero France faces a set of strategic challenges driven by environmental, technological and societal transformations that are reshaping the competitive landscape of the confectionery sector.

From an environmental perspective, the firm must manage a transition toward more sustainable packaging and lower carbon operations. Regulatory pressure in Europe continues to intensify, particularly regarding plastic reduction and decarbonization of supply chains. However, Ferrero operates in a premium segment where packaging aesthetics and product appeal are central to brand equity. Environmental commitments must therefore be implemented without weakening perceived quality or cost competitiveness.
The strategic challenge lies in aligning sustainability objectives with premium positioning and operational efficiency.

Technological transformation represents a second major challenge. According to our informant Florence Bruetschy, AI and data are increasingly integrated into their innovation processes and consumer research activities. These tools accelerate decision cycles and strengthen Ferrero's ambition to maintain innovation leadership within the

confectionery sector. At the same time, digital acceleration requires ensuring the reliability of AI-driven decisions and managing strategic risks associated with automation. Ferrero must therefore combine speed, competitiveness, and data credibility in a highly dynamic market.

Societal transformation constitutes a third strategic challenge. Consumer expectations are evolving rapidly, particularly regarding sugar consumption, ingredient transparency and sourcing practices. The palm oil controversy surrounding Nutella also illustrates the reputational sensitivity of these issues. In addition, increasing consumer fragmentation and polarization require more differentiated insights and adaptive brand strategies.
Yet Ferrero's competitive advantage remains rooted in indulgence and emotional brand identity. The strategic challenge is to respond to health and transparency expectations while preserving the core indulgence-based positioning that defines its premium appeal.

Together, these environmental, technological and societal challenges illustrate the complexity of Ferrero's strategic environment. They create interrelated pressures that shape both competitive positioning and long-term performance.

Beyond strategic positioning, all these transformations also create concrete organizational challenges inside Ferrero France.

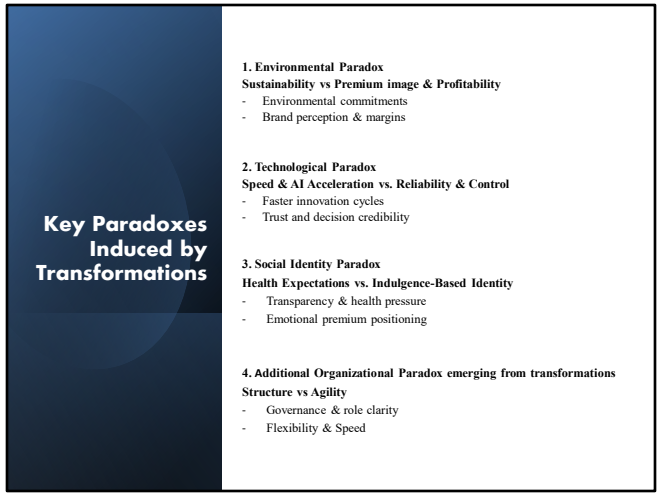
On the environmental side, sustainability objectives require strong coordination across departments. Packaging transformation and decarbonization efforts involve supply chain, procurement, industrial sites and marketing. According to the interview, these initiatives cannot be handled by one isolated team. They require alignment between brand objectives and operational constraints. Industrial processes must progressively adapt to new materials and carbon targets, which takes time.
Some transformations can take over long cycles of 7-8 years. The organization faces the challenge of transforming while maintaining business performance.

Technological transformation also reshapes internal structures. The creation of the CSU department through the merger of several insight and innovation teams illustrates this shift.
Integrating these teams required redefining roles and clarifying responsibilities. It also required balancing traditional

research methods with AI tools. Beyond structure, capability development is critical as a large number of employees must adapt to rapidly evolving technologies. And at the same time, there is internal resistance to new digital tools and differences in digital maturity creating friction. Ferrero must manage learning, coordination and stability simultaneously.

Societal transformation generates additional organizational adjustments. Health concerns and transparency expectations affect not only communication but also product development and sourcing decisions.
The perfect example that Florence Bruetschy gave us is about the palm oil controversy concerning Nutella. This case highlights the importance of structured crisis management and coordinated messaging. In addition, increasing consumer fragmentation requires stronger collaboration between marketing, innovation and insight teams. The organization must become more agile in understanding diverse consumer expectations while protecting overall brand coherence.

So overall, these organizational challenges show that transformation is not only a strategic question. It also requires internal alignment, coordination and capability building. These internal adjustments create tensions that will be further examined through a paradox lens in the next section.



After uncovering the different challenges the firm faces in strategy and organization, we determined three key paradoxes.

First is Sustainability vs Premium Image & Profitability

Ferrero is committed to reducing plastic and decarbonizing its operations. These environmental commitments are necessary in today's regulatory and societal context. However, they directly impact packaging, production processes and cost structures. In a premium confectionery business, packaging and perceived quality are central to brand value. Any visible change may affect consumer perception. At the same time, environmental transformation requires long-term investment. Ferrero must therefore improve its environmental performance while protecting its premium positioning and margins.
This tension is not temporary. It is structural and will remain as sustainability expectations continue to rise.

Second, Speed & AI Acceleration vs Reliability & Control

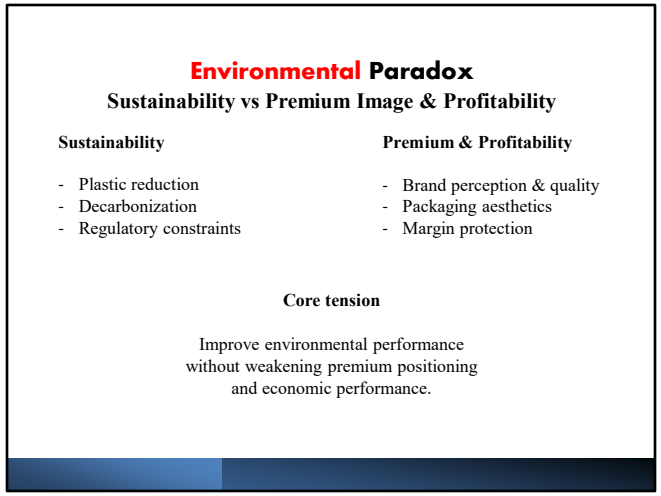
AI allows Ferrero to accelerate innovation and shorten decision cycles, particularly in consumer research and product testing. Faster experimentation strengthens competitiveness in a dynamic FMCG environment.
However, relying more heavily on digital tools creates uncertainty around the reliability and credibility of decisions. Moving faster may reduce perceived control or increase risk.
Ferrero must therefore balance speed with trust in its data-driven decisions. This tension will persist because technology continues to evolve rapidly and competitive pressure does not slow down.

Third, Health Expectations vs Indulgence-Based Identity

Consumers increasingly expect healthier products, lower sugar content and greater transparency. At the same time, Ferrero's brands are built on indulgence, pleasure and emotional attachment. Responding too strongly to health pressures may dilute brand identity. Ignoring them may weaken legitimacy and trust. Ferrero France must adapt to evolving and fragmented consumer expectations without losing its indulgence-based positioning. This contradiction is ongoing because health awareness continues to grow while indulgence remains central to Ferrero's value proposition.

We also added an additional Organizational Paradox that is a direct consequence from all the transformations happening in the firm.

Structure vs Agility
As we know from the interview, the creation of the CSU and the broader transformation coming from it required formal role clarification, HR validation and governance mechanisms to ensure stability and legitimacy. At the same time, technological acceleration and market pressures demand faster decision-making and greater flexibility. Ferrero must therefore maintain structural coherence while increasing organizational responsiveness. This tension persists because large organizations require governance. Yet innovation simultaneously requires speed and adaptability.



The tension

Ferrero is committed to reducing plastic, redesigning packaging and also decarbonizing its operations. These initiatives are aligned with regulatory requirements and rising societal expectations.
However, such changes may affect product appeal, packaging aesthetics (Ferrero with the change of chocolate from a harder plastic to a softer one) and cost structures. In the premium confectionery segment, packaging is closely linked to perceived quality and emotional value.
Sustainability improvements may therefore create pressure on short-term margins or weaken premium perception if not carefully managed.

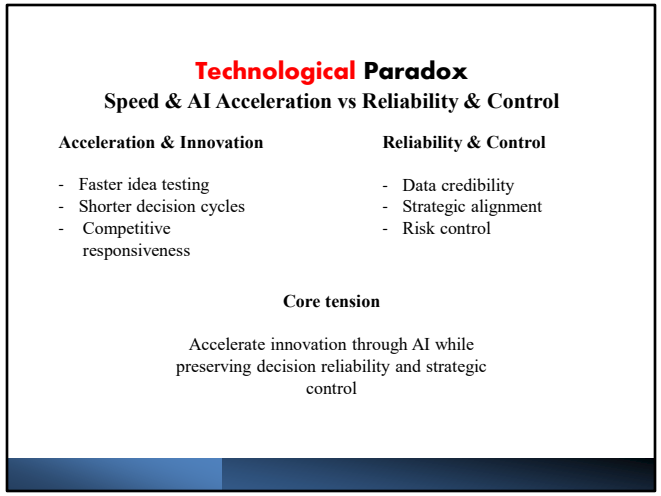
Why is it a paradox ?

First of all, premium brands are increasingly expected to demonstrate environmental responsibility. Sustainability has become part of brand legitimacy and consumer trust.

At the same time, Ferrero's competitive advantage relies on strong quality perception, packaging differentiation, and economic performance. Sustainability strengthens long-term legitimacy, while profitability ensures business viability. These dimensions are interdependent, yet they may conflict in implementation. Improving environmental performance can generate additional costs or require visible changes that risk altering brand perception.

Why it persists

Environmental regulation in Europe continues to intensify. Consumer expectations regarding responsible sourcing and packaging transparency continue to rise.
Moreover, industrial transformation processes, such as decarbonization and material substitution, require long-term investment and gradual implementation. For these reasons, Ferrero cannot eliminate this tension. It must continuously manage the balance between environmental responsibility and premium economic performance.



The tension

AI enables Ferrero to accelerate idea testing and shorten innovation cycles, reinforcing its ambition to remain competitive and innovative. These tools support faster experimentation and quicker decision-making, especially within consumer research and product development. However, increased speed and automation create uncertainty around the reliability and credibility of data-driven decisions. Moving faster may reduce perceived control and increase exposure to risk if insights are not fully validated or interpreted carefully.

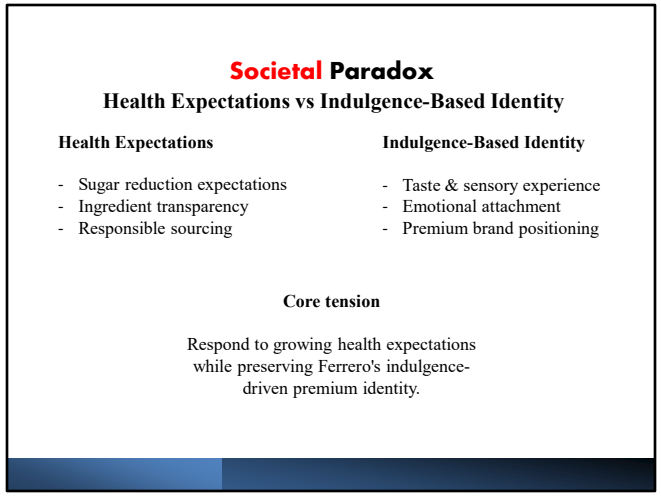
Why is it a paradox ?

Speed strengthens competitiveness and market responsiveness, while reliability protects brand equity, strategic consistency and long-term trust in decision-making processes.
Ferrero must accelerate innovation to maintain leadership in a dynamic FMCG environment, yet it must also ensure that decisions remain trustworthy and aligned with broader strategic objectives. Both speed and reliability are

necessary. Prioritizing one at the expense of the other would weaken Ferrero's overall performance

Why it persists

Nowadays, technology continues to evolve rapidly. Competitive pressure in the confectionery sector remains strong. Once AI tools are integrated in the innovation process, adoption cannot be reversed. For these reasons, Ferrero cannot eliminate this tension, it must continuously manage the balance between acceleration and control.



The tension

Consumers increasingly demand healthier products, lower sugar content and greater transparency regarding ingredients and sourcing. These expectations reflect broader societal concerns about nutrition and corporate responsibility. Such pressures encourage reformulation, clearer labeling and more responsible communication. However, Ferrero's power brands are fundamentally built on indulgence, pleasure and emotional attachment. Responding too strongly to health pressures may alter taste, product experience or brand perception, potentially weakening the indulgence-driven positioning that actually defines their premium appeal.

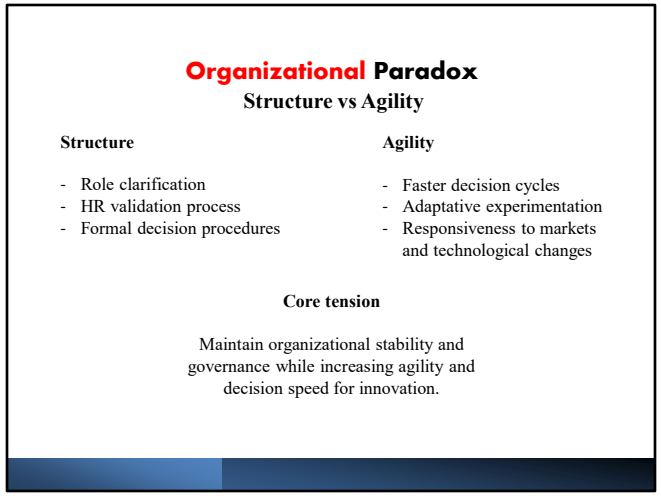
Why is it a paradox ?

First of all, consumers trust increasingly depends on responsibility and transparency while brand equity depends on indulgence, taste and emotional value. Ferrero must therefore demonstrate responsiveness to health concerns without undermining the sensory and symbolic attributes that make its products distinctive.

Health responsiveness without indulgence risks diluting their brand identity, whereas indulgence without responsibility risks reputational damage.
Both dimensions are necessary for long-term performance, and yet they may conflict in implementation.

Why it persists

Health awareness continues to grow across markets.
Consumer expectations are becoming more fragmented and sometimes polarized. At the same time, indulgence remains central to Ferrero's brand positioning and value proposition. Because neither health expectations nor indulgence identity is likely to disappear, this tension remains structural and ongoing.



The tension

In our interview, Florence told us that the reorganization of the CSU department required formal processes such as redefining roles, validating changes with HR and clarifying responsibilities.
These steps were necessary to ensure legitimacy, clarity and stability within the organization.
However, Ferrero operates in a context where technological acceleration and market changes demand faster decision-making and greater flexibility. Innovation cycles are shortening, especially with AI and data-driven processes.
While structure provides order and reduces uncertainty, it can also slow responsiveness. The organization must therefore move faster without undermining internal coherence.

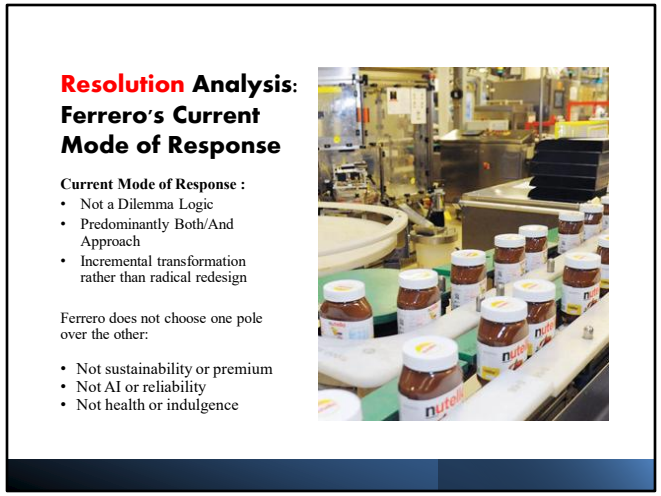
Why is it a paradox ?

Ferrero needs structure to function effectively as a large and regulated organization. Clear governance, defined roles

and validation procedures protect employees, reduce risk and maintain consistency. But at the same time, excessive formalization may limit agility and slow innovation. Speed supports competitiveness, while structure supports stability and control. Both dimensions are essential, yet they may constrain each other in practice.
The company cannot fully prioritize one without weakening the other.

Why it persists

Ferrero operates in a regulated and complex environment that requires formal governance mechanisms. At the same time, technological and market changes continue to accelerate, increasing pressure for rapid adaptation. As long as the company seeks both stability and innovation, this tension between structure and agility will remain.



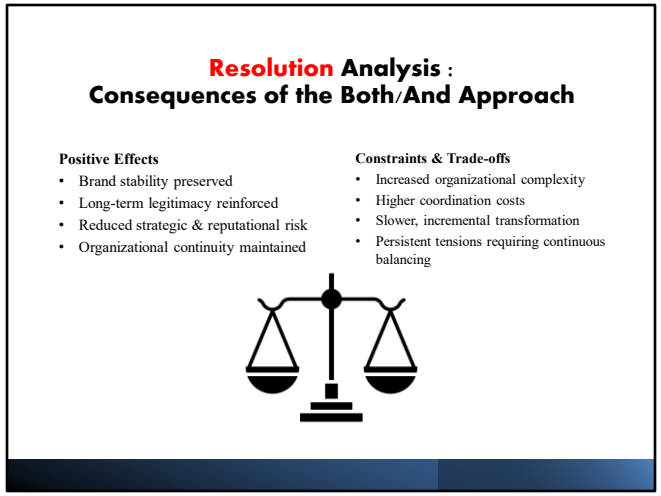
Ferrero does not treat the tensions identified in our analysis as dilemmas requiring to choose between two opposing poles.
From the different elements we learned about Ferrero and the content of our interview, it suggests that management avoids either/or decisions.

Instead, Ferrero predominantly adopts a both/and logic. In environmental matters, Ferrero invests in more sustainable packaging while protecting its premium image and margins. In technological transformation, AI is integrated into innovation processes, but with safeguards and validation mechanisms to preserve reliability and strategic control.
On the societal dimension, transparency is reinforced without abandoning the indulgence-based identity that defines the brand's emotional appeal.

This mode of response reflects a balanced and cautious management of paradoxes. The transformation appears incremental rather than radical. The company maintains structural stability while progressively adapting to external

pressures.

Such an approach supports long-term legitimacy and reduces reputational and operational risks.
However, it may also slow down deeper strategic reconfiguration. Ferrero demonstrates adaptive capacity, yet its transformation remains evolutionary rather than disruptive.
The firm manages tensions but does not fundamentally redesign the underlying organizing logic.



Although Ferrero does not fully redesign its business model, it relies on gradual adjustments, structured experimentation and careful risk control rather than disruptive transformation.
This indicates a predominantly Both/And approach combined with organizational caution.

Based on our paradox mapping process, the tensions identified are interdependent and persistent rather than temporary trade-offs. Ferrero does not treat them as dilemmas requiring a definitive choice. Instead, the company attempts to manage opposing poles as we have shown on the previous slides, simultaneously over time.

This balanced approach preserves brand stability and reinforces long-term legitimacy. It reduces exposure to strategic and reputational risks, particularly in areas such as sustainability, digital transformation, innovation and brand positioning.

However, we think that managing both poles simultaneously increases organizational complexity and coordination costs. The pace of transformation remains incremental rather than radical.

As a result, core tensions are continuously managed rather than eliminated.

The paradoxes remain structurally embedded in the organization and require ongoing balancing efforts.

Our recommendations

Ferrero currently manages its strategic tensions through a predominantly both/and approach.
The firm balances sustainability with premium positioning, innovation speed with reliability, and health responsiveness with indulgence identity.
While this stabilizes tensions, the transformation remains incremental. Our group recommends moving toward a more structural integration of competing demands, as a more than approach, where tensions are not only managed but reconfigured.

First of all, Ferrero should redefine premium positioning as sustainable excellence.
Sustainability should not be treated as a constraint on margins but as a core component of perceived quality and differentiation. In a premium confectionery market, environmental responsibility can reinforce legitimacy and strengthen brand value rather than weaken it. This reframing goes beyond balancing sustainability and profitability as it integrates them both into a new definition of premium value.

Second, we think that the company should design clearer organizational separation between innovation and operational stability. Rather than informally balancing speed and control, experimentation spaces and particularly around AI and new initiatives should be protected, while core operations maintain reliability and governance.
Coordination at top management level would ensure coherence without slowing innovation. This structural ambidexterity reflects a shift from ongoing compromise to intentional design.

Third, governance should align performance metrics with long-term priorities.
Managers should be evaluated not only by their financial results but also on sustainability and innovation metrics. Without structural alignment of incentives, paradox management risks reverting to short-term prioritization.

All these recommandations aim to move Ferrero from incremental Both/And management approach toward a more-than logic, in which competing demands are embedded into a renewed organizational architecture. Rather than merely balancing tensions, the firm can transform them into structured drivers of sustainable competitive advantage.

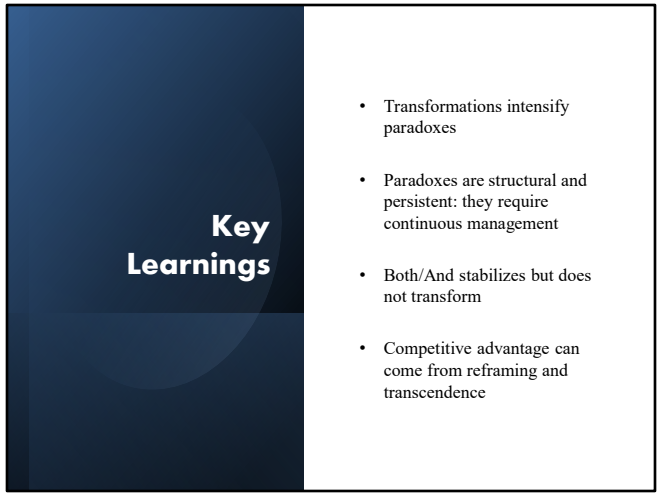
Comparisons to other potential options

While alternative responses are possible, they present limitations.
For example, Ferrero could adopt a dilemma-based logic by prioritizing short-term profitability over sustainability investments. This would simplify decision-making but as a consequence, there is a risk of long-term legitimacy and brand erosion.

Alternatively, the firm could pursue a purely incremental both/and balancing approach, continuing to manage tensions informally. And while this preserves stability, it may prevent deeper transformation and slow competitive adaptation in an increasingly turbulent environment.

Our proposed recommandations toward a more-than logic differs because it does not merely balance tensions but seeks to structurally redesign how competing demands are integrated into strategy, organization and governance.

This enables a more sustainable and durable competitive advantage.



This project highlights four key learnings.

It allowed us to understand that transformations do not simply create new problemes to solve, they intensify paradoxes that are already embedded in strategy and organization. In the case of Ferrero France, technological acceleration, environmental pressure and evolving societal expectations did not generate isolated challenges. Instead, they made existing tensions more visible and more difficult to ignore.

We also learned that paradoxes are structural and persistent. The tensions between
- Sustainability and premium positioning
- Speed and reliability
- Health expectations and indulgence identity

Cannot be definitively resolved. They require continuous management over time. Attempts to eliminate one pole would weaken the organization's overall coherence or legitimacy. Transformation therefore becomes an ongoing balancing effort rather than a one-time adjustment.

Our analysis further showed that a both/and approach can stabilize tensions but does not necessarily transform them. Ferrero's incremental adjustments, structured governance and cross-functional coordination help maintain equilibrium and reduce risk.
However, this dynamic may limit deeper organizational redesign if external pressures intensify.

Finally, from our project, our interview with Florence and the course, we understood that competitive advantage may emerge from reframing and transcendence. Rather than merely balancing competing demands, organizations can redesign their strategic and organizational architecture so that tensions become sources of differentiation.
Moving toward a more-than logic implies integrating financial, environmental and innovation priorities into a coherent system.
In this sense, transformation is not about eliminating contradiction, but about structuring it productively.

Overall, the paradox lens reshaped our whole understanding of transformation as a continuous capability to live with and leverage contradiction.

Third, Ferrero's CSU transformation illustrates a dynamic equilibrium approach: a both/and logic that balances innovation and structure through iterative adjustments. This approach can be effective, but it has limits if the pace of transformation accelerates.

Fourth, the highest potential for competitive advantage lies in "more than" thinking: reframing and transcendence. By redefining purpose and value creation, organizations can turn persistent tensions into a generative force—supporting profitable growth while contributing to society.

Overall, applying the paradox lens changed our understanding of transformation: not as a linear implementation challenge, but as a continuous capability to live with contradiction and design systems that keep tensions productive.
Concerning the course, we also strengthened our understanding of the distinction between dilemmas and paradoxes developed in class. We now better grasp how Either/Or logic simplifies tensions but may create blind spots, while Both/And approach enables organizations to sustain competing demands over time.

Finally the course cases, including Supercell, Aravind Eye and McDonald's & Emrobot helped us concretely see how different organizations navigate innovation, efficiency, mission and scalability.
These examples clarified why moving toward a more-than logic can unlock deeper strategic renewal rather than simple tension balancing.